ELECTRIC UTILITIES · JAPAN · TOKYO STOCK EXCHANGE: 9503

Kansai Electric Power

Japan's nuclear leader is modestly cheap, once record 2025 profits are normalised

● NEUTRAL | Quality hold | Conviction: Medium | 12 months

THE CLOSE, 29 OCT 2026, CALL BEFORE H1 RESULTS	
Rating	● NEUTRAL
Price	¥2,754
Base-case value Justified price to book (Gordon growth)	¥2,970
Upside to base case	+8%
Market cap	¥3,070.7bn
52-week range	¥2,184 – ¥3,053

01 Overview

Kansai Electric entered the portfolio in June 2025 and ranked first of 59 utilities in December 2025. Unlike the case studies, it is a solid business; the question is how much of its cheapness survives once you normalise a record year. This note explains how a Japanese utility earns money, why nuclear availability dominates the numbers, and why our call is Neutral.

> Kansai runs 45% of Japan's operating nuclear capacity and trades at 0.85x book. But FY2025 was a peak year (84% nuclear capacity factor, fuel time-lag gains), and the company's own plan guides ordinary profit down 44% in FY2026 and ROE to about 8-9%. On normalised returns the upside is single-digit: we keep the model weight.

MARKET CAP	P/B (THIRD-PARTY)	FY26 ORDINARY PROFIT GUIDE	DIVIDEND YIELD
¥3.07tn	0.85x	¥290bn (−44%)	2.9%

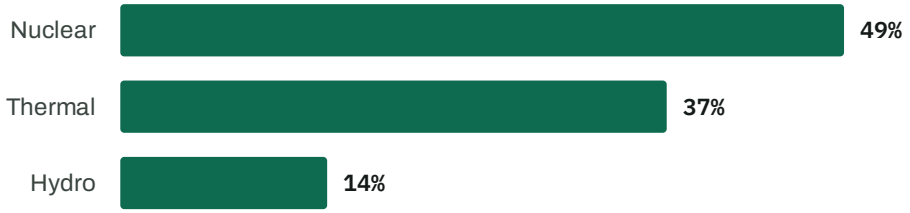
02 The business

Kansai Electric supplies the Osaka-Kyoto-Kobe region. It generates power (nuclear, thermal and hydro), sells it to households and businesses, and owns the regulated transmission and distribution network through Kansai T&D.

Its edge is nuclear: seven reactors at Takahama, Ohi and Mihama, 45% of Japan's operating nuclear capacity. Nuclear power is cheap once plants run, so every point of capacity factor (the share of the year the reactors produce) adds about ¥5.7bn of profit. When reactors are in outage, the company burns more expensive fuel.

Japanese utilities report 'ordinary profit', which includes financial income and equity-method results. Fuel costs are passed to customers with a 3-5 month lag, which creates 'time-lag' gains when fuel prices fall and losses when they rise.

Own generation mix, FY2025 (94.2 TWh)



Energy

Generation, retail and gas: ¥377bn of the ¥519bn FY2025 ordinary profit. Generation mix 49% nuclear, 37% thermal, 14% hydro.

Transmission & distribution

Regulated network (Kansai T&D): ¥63bn. Revenue cap raised by ¥149.6bn from November 2026.

ICT

Optage fibre and data centres: ¥47bn.

Real estate

Kanden Realty: ¥36bn; more than ¥550bn of property to be recycled under the 2026 plan.

03 Industry & macro

Japan restarted nuclear plants slowly after Fukushima (2011). Kansai is the most advanced, but older units (Takahama 1 and 2 are over 50 years old) need regulatory approvals and are exposed to court injunctions.

The 2026 Middle East conflict pushed crude to an average of $108 a barrel in H1 FY2026, against an $80 plan assumption, and the yen weakened to ¥160. Combined with outages, ordinary profit fell 65% in H1.

Data centres and electrification are the long-term demand story, but they have not yet moved total Kansai-area demand, which is flat at about 133 TWh.

NUCLEAR AVAILABILITY

62.7%

H1 FY2026 capacity factor (77.2% a year earlier): outages are the main swing factor.

CRUDE OIL

$108/bbl

H1 FY2026 average versus an $80 plan assumption; fuel costs pass through with a 3-5 month lag.

YEN

¥160/$

Each ¥1 move against the dollar is worth about −¥1.2bn of profit.

REGULATION

1 Nov 2026

New T&D wheeling tariffs apply after the revenue-cap approval.

04 What happened

The events that shaped the stock, in order.

Nov 2024
Equity raise (~¥264bn new shares + treasury stock); shares fell ~18%

Nov 2025
Surveys for a successor reactor at Mihama begin

30 Apr 2026
FY2025 results; Management Plan 2026 resets targets lower; ¥80 DPS guide

1-2 Jun 2026
Sale of 33.5m Kinden shares (~¥224bn)

4 Sep 2026
T&D revenue cap raised by ¥149.6bn

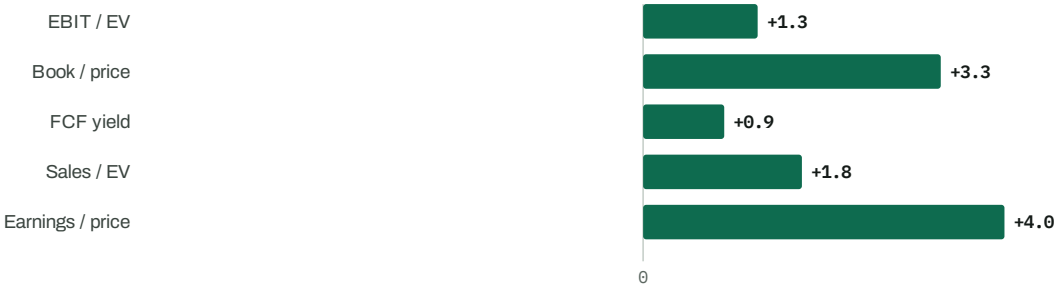
29 Oct 2026
H1 FY2026: ordinary profit −65%; guidance and ¥80 dividend maintained

05 Why the screen picked it

On the December 2025 score Kansai had z-scores of +4.0 on earnings-to-price and +3.3 on book-to-price within Utilities, using FY2024 (March 2025) accounts, but only +0.9 on FCF yield: heavy capex consumes cash. Its P/E was 5.8x against 18.4x for its peers. Both risk-based portfolios gave it the 4% cap because utilities lower portfolio volatility.

VALUE SCORE, DEC 2025	ACCOUNTS USED	WEIGHT, DEC 2025	H1 2026 RETURN
+1.81 rank 1 of 59 in Utilities	**FY to 2025-03** year-end + 6-month lag	**2.0% / 4.0% / 4.0%** equal · min-var · mean-var	**−6.4%** benchmark +10.8%

Z-scores within sector · Dec 2025 rebalance · above 0 = cheaper than the sector average



MULTIPLE, DEC 2025	KANSAI ELECTRIC POWER	PEER MEDIAN	SECTOR MEDIAN
EV/EBIT	12.96x	19.18x	22.47x
P/B	0.79x	1.90x	2.02x
P/FCF	30.29x	21.03x	19.05x
EV/Sales	1.40x	3.61x	4.96x
P/E	5.79x	18.44x	20.08x

Multiples on the accounts the model could use at the time. Peer set: same GICS industry group in the developed universe. Held at: 2025-06, 2025-12.

06 Investment thesis

01 A unique asset

Seven pressurised-water reactors (6,578 MW), 45% of Japan's operating nuclear capacity. Each point of capacity factor is worth about ¥5.7bn of ordinary profit.

02 But the trailing earnings are a peak

FY2025 ordinary profit of ¥518.5bn benefited from an 84% capacity factor and fuel time-lag gains. The FY2026 guide is ¥290bn and the 2026-28 plan averages ¥270bn. Trailing P/E overstates value.

03 Capital returns are steady, not large

A 25-35% payout, a progressive dividend (¥80 guided) and at least ¥270bn of returns over FY2026-28, funded partly by asset sales. Yield 2.9%.

07 Variant perception

Where our reading differs from the obvious one.

WHAT THE MARKET SAYS	WHAT THE EVIDENCE SAYS
"Data centres will drive a demand boom."	Kansai-area demand is flat: 133.7 TWh in FY2025 and 133.1 TWh forecast for FY2026.
"The H1 collapse is temporary."	Partly: the −¥87bn fuel time lag should reverse. But outages (62.7% capacity factor) and ¥2.5tn of capex are structural.
"At 0.85x book it must be cheap."	Only if ROE holds near 9%; the plan itself guides ROE down to about 8.7%, and normalised ROE is closer to 6-7%.

08 Financials

LINE	FY2024	FY2025	H1 FY2026	FY2026 GUIDE
Net sales	—	¥4,057bn	¥2,235bn	¥4,500bn
Ordinary profit	¥532bn	¥519bn	¥112bn	¥290bn
Net profit	¥420bn	¥380bn	¥183bn*	¥310bn
EPS	¥436	¥341	—	¥278
DPS	—	¥75	¥40 interim	¥80
Free cash flow	¥233bn	¥80bn	−¥300bn	—
Net debt / EBITDA	—	3.8x	—	~5x (plan)

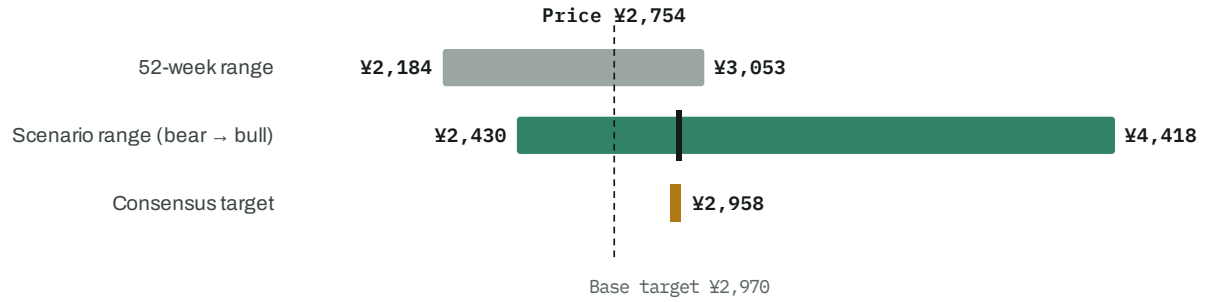
*Includes a ¥105bn gain on Kinden shares. Fiscal year ends 31 March (FY2025 = Apr 2025-Mar 2026). Sources: Kansai Electric FY2025 and H1 FY2026 results.

09 Valuation

Method: Justified price to book (Gordon growth). A regulated-plus-merchant utility is worth (ROE − g) / (cost of equity − g) times book. We take book per share implied by the 0.85x third-party P/B, long-term growth of 1%, a 6.5-7% cost of equity, and ROE between the normalised level (~5.5-6.5%) and the plan's ~8.5%.

SCENARIO	INPUTS	VALUE / SHARE	VS PRICE	WHAT HAS TO HAPPEN
Bear	ROE 5.5%, CoE 7.0% → 0.75x book	¥2,430	−12%	Outages persist; capex dilutes returns
Base	**ROE 6.5%, CoE 7.0% → 0.92x book**	**¥2,970**	**+8%**	**Normalised ROE on plan profits**
Bull	ROE 8.5%, CoE 6.5% → 1.36x book	¥4,418	+60%	Plan ROE delivered; nuclear above 70%

Valuation range · base case marked



Consensus target: ¥2,958 (+7%). Rating thresholds: Overweight above +15%, Neutral –10% to +15%, Underweight below –10%.

10 Catalysts

1 Nov 2026
Wheeling tariff uplift

Late Jan 2027
Q3 FY2026: does the fuel time lag reverse as crude eases?

End Apr 2027
FY2026 results, FY2027 guide and first full year under the 25-35% payout

FY2026-28
Further shareholding sales (¥230bn of a ¥380bn+ target done)

Ongoing
Reactor restart dates driving the capacity factor back toward 70%+

11 Risks & sell rules

RISK	MITIGANT
Extended outages or court injunctions	Largest fleet in Japan: diversified across 3 sites
Fuel and yen	Pass-through with a lag
¥2.5tn capex and possible equity raise	Asset recycling > ¥550bn
Regulated tariffs	T&D cap just raised

WE CHANGE THE CALL IF

- Upgrade if ROE guidance moves back above 9% with capacity factor above 75%
- Downgrade on a new equity raise or a nuclear injunction
- Downgrade if the progressive dividend policy is abandoned

The bear case, taken seriously

The bear case: FY2025 was the peak, ordinary profit averages about half of it over the plan, capex keeps FCF negative and could force another equity raise, and the stock depends on ageing reactors and court decisions.

12 Interview prep

Questions a portfolio manager is likely to ask, with short answers.

Q Why is Kansai Neutral when it screens as the cheapest utility?

The screen used peak FY2024-25 earnings. On normalised ROE of about 6.5% the justified P/B is about 0.92x, close to today's 0.85x.

Q What is the most important number for Kansai?

The nuclear capacity factor: each point is worth about ¥5.7bn of ordinary profit.

Q Why did the minimum-variance portfolio give it 4%?

Utilities have low volatility and low correlation with cyclicals, so a risk-minimising optimiser loads them to the cap.

Q What would make you upgrade?

Capacity factor back above 75% and ROE guidance above 9%, with no new equity raise.

13 Glossary

Capacity factor	Actual output divided by the maximum possible output over a period.
Ordinary profit	Japanese profit line: operating profit plus financial income and equity-method results.
Fuel time lag	Delay between fuel-cost changes and the tariff adjustment passed to customers.
Justified P/B	(ROE − g) / (cost of equity − g): the price-to-book a company deserves for its returns.

14 Sources

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Company figures from filings and releases listed above. Screen data (multiples, z-scores, weights) from the Bloomberg extract of 26-29 October 2026, aggregated. Peers: Engie, Power Assets, American Electric Power, Iberdrola, Enel, EDP (pipeline peer set); Kyushu and Chubu Electric for Japan.

Student research for educational and interview purposes. Not investment advice. Prices as of close, 29 Oct 2026, before H1 results.